Personal and corporate citizenship

ASSESSMENT 3

Due date – 25 July 2025

This is a group assessment and must be completed by all members of the group.

Assessment instructions:

- **Only one submission per group.**
- Your solution **must be typed** and adhere to the following formatting requirements:
    - Font type: Arial
    - Font size: 11
    - Line spacing of 1.5
    - Justified
- Upload your solution as a SINGLE PDF file.
- Please remember to complete the Honesty Declaration upon uploading the file.
- Files must not be password protected or uploaded as “read only” files.
- NO emailed submissions will be accepted.
- Students are advised to preview submissions to ensure that the correct file has been uploaded. Marks awarded for incorrect submissions will be the student’s final mark. No opportunity for resubmission will be granted. Incorrect file format and uncollated files will not be considered.
- Students suspected of dishonest conduct will be subjected to disciplinary processes. UNISA has a zero tolerance for plagiarism and/or any other forms of academic dishonesty.
- The module uses **Turnitin as a proctoring tool**. For instructions on how to use ‘Turnitin’ refer to the Additional Resources folder on the module site.
- **Include the rubric in your solution**.

1. Background

MultiChoice is a leading entertainment company in Africa, providing video entertainment services through various platforms, such as DStv, GOtv, and Showmax. The company operates across multiple African markets, offering millions of subscribers local and international content.

MultiChoice has strengthened its digital streaming services in response to the fast-evolving media industry. The company has significantly invested in original African content, sports broadcasting rights, and advanced technology to improve the customer experience. MultiChoice's 2024 Integrated Report provides a comprehensive overview of the company's performance, strategy, and sustainability efforts. Refer to the company's 2024 Integrated Report at:

https://multichoice-reports.co.za/group-iar-2024/documents/IAR_2024.pdf

MultiChoice has received a mix of coverage in the media in 2024. The coverage highlights challenges such, as significant financial and headline losses for the year, but also positive growth, like an increase in advertising revenue in South Africa. Details of the media coverage can be found at:

1. https://broadcastmediaafrica.com/2024/11/07/adapting-to-change-multichoices-transformation-in-the-evolving-entertainment-landscape/

2. https://techcentral.co.za/multichoice-warns-challenging-history/254781/

3. https://broadcastmediaafrica.com/2024/12/04/multichoice-reports-3-growth-in-advertising-revenue-amid-strong-sports-programming/

2. Financial Statements of Multichoice

An extract of the Financial Statements of Multichoice can be found below for the year ended 31 March 2024.

Extracts from the 2024 financial statements of Multichoice

Consolidated income statement

for the year ended 31 March 2024

	Note	2024 ZAR'm	2023 ZAR'm
Revenue[1]	5	**54 999**	58 424
Cost of providing services and sale of goods[1]	6	**(29 251)**	(32 193)
Insurance service result		**589**	473
Insurance revenue[1]	5(a)	***969***	*717*
Insurance service expense[1]		***(380)***	*(244)*
Selling, general and administration expenses	6	**(18 371)**	(16 615)
Net impairment loss on trade receivables	20	**(200)**	(24)
Other operating (losses)/gains - net	7	**(686)**	92
Operating profit		**7 080**	**10 157**
Interest income	12	**640**	449
Interest expense	12	**(1 999)**	(1 458)
Net foreign exchange translation losses	12	**(5 592)**	(5 580)
Share of equity-accounted results	24	**(588)**	(477)
Impairment of equity-accounted investments	24	**(164)**	(1 998)
Other losses	7	**(83)**	(172)
(Loss)/profit before taxation		**(706)**	**921**
Taxation	8	**(3 442)**	(3 841)
Loss for the year		**(4 148)**	**(2 920)**
Attributable to:			
Equity holders of the group		**(3 974)**	(3 478)
Non-controlling interests		**(174)**	558
		(4 148)	**(2 920)**

Notes to the consolidated financial statements (continued)

for the year ended 31 March 2024

		2024 ZAR'm	2023 ZAR'm
7. Other (losses)/gains - net			
Other operating (losses)/gains - net	**Note**		
Impairment of intangible assets and software not yet available for use[1]	22	**(1 282)**	-
Profit/(loss) on sale of property, plant and equipment		**2**	(13)
Profit on sale of intangible assets		**14**	16
Reversal of impairment/(Impairment of) property, plant and equipment	17	**172**	(2)
Impairment of other assets		**(2)**	-
Fair value adjustments	30	**410**	91
		(686)	**92**
Other losses			
Acquisition-related costs[2]		**(123)**	(159)
Dilution gain/(loss)[3,4]		**40**	(13)

1 Relates primarily to the impairment of information technology software as part of the group's periodic asset review process, and follows a strategic decision to discontinue the group's technology modernisation project (note 22).
2 Relates to acquisition related project costs incurred by the group on potential as well as successful acquisitions, disposals or partnerships.
3 During FY23, the Questar Auto Technologies board introduced an IFRS 2 share-based payment scheme which resulted in shares being set aside for Questar employees. The introduction of the scheme resulted in the group's shareholding held through Irdeto, diluting from 7.6% to 6.8%.
4 During FY24, the group, along with other founding backers and new investors, contributed to Moment's Seed+ funding round. Following the additional contributions, the group's fully diluted shareholding in Moment increased from 25.5% to 29.6% and the fair value of Moment increased, which ultimately resulted in the group recognising a dilution gain (note 24).

YOU ARE REQUIRED TO:

1. In 2024, MultiChoice faced a range of challenges that significantly impacted its financial performance. MultiChoice reported a net loss of R 4 billion in 2024, influenced by internal and external factors. What key factors contributed to MultiChoice's financial loss in 2024? Briefly explain how each factor impacted the company's profitability. Present your answer in the following table format. You must identify at least three or more factors.

Key factor	Impact on profitability

2. The Integrated Reporting Framework identifies six capitals—**Financial, Manufactured, Intellectual, Human, Social & Relationship and Natural capital**- that businesses use to create value. Multichoice highlights in its Integrated Report how the company interprets and manages these capitals within its own business model. (Refer to page 13 in the Integrated Report, "Value creation for our stakeholders and providers of capital"). Which of the six capitals was most affected by MultiChoice's financial loss? Explain how it was affected.
   - Limit your solution to no more than 500 words.

3. Multichoice is targeting **carbon neutrality by 2050**. How do its sustainability initiatives, such as those relating to energy efficiency, waste management, and water conservation, contribute to its carbon neutrality goal and Natural Capital protection? In your response, refer to specific examples of MultiChoice sites that are contributing to each of these initiatives.

4. In 2024, MultiChoice recognised a R1.2 billion impairment charge related to its **Technology Modernisation programme**. Under IAS 36 Impairment of Assets, what specific indicators have been identified that triggered MultiChoice's need for this impairment test? Why are these indicators significant enough to warrant an impairment test?

Note: Refer to the rubric on the next page to understand how your group's attempt will be graded.

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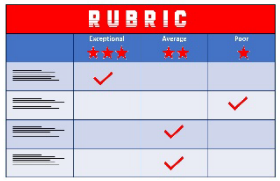

Assessment 3

Rubric Criteria	0 points – Not demonstrated	1 point – Fair	2 points – Good	3 points – Excellent	SCORE	Feedback
Question 1						
Identification and description of key factors contributing to financial loss	Fails to identify any key factors. **OR** Identifies irrelevant key factors.	Identifies some key factors with no or limited description of the key factors.	Clearly identifies and describes the majority of the key factors.	N/A		
Explanation of key factor impact on profitability.	For each correct key factor identified – Fails to explain its impact on profitability. **OR** Lacks clarity in explaining its impact on profitability.	For each correct key factor identified – Provides a basic (generic) explanation of its impact on profitability.	For each correct key factor identified – The explanation of its impact on profitability is clear and coherent.	For each correct key factor identified – The explanation of its impact on profitability is clear and coherent and comprehensive		
QUESTION 2						
Identification of relevant capitals impacted by the financial loss	Fails to identify **any** capitals **OR** Fails to identify the **relevant** capitals.	Identifies some of the relevant capitals impacted by the financial loss.	**Correctly** identifies all the capitals impacted by the financial loss.	N/A		

Rubric Criteria	0 points – Not demonstrated	1 point – Fair	2 points – Good	3 points – Excellent	SCORE	Feedback
Explanation of how the financial loss impacted the relevant factor	For each correct capital identified – Fails to explain how the financial loss impacted the capital. **OR** Lacks clarity in explaining how the financial loss impacted the capital.	For each correct capital identified – Provides a basic (generic) explanation of how the financial loss impacted it.	For each correct capital identified – The explanation of how the financial loss impacted the capital is clear, coherent, and relevant to the capital.	For each correct capital identified – The explanation of how the financial loss impacted the capital is clear, coherent, and relevant to the capital **AND** The explanation is comprehensive/detailed, and well-reasoned.		
QUESTION 3						
Discussion of initiatives that contribute to carbon neutrality	Fails to discuss any of MultiChoice's sustainability initiatives.	Discusses only **ONE** of MultiChoice's sustainability initiatives.	Discusses only **TWO** of MultiChoice's sustainability initiatives.	Discusses all **THREE** of MultiChoice's sustainability initiatives.		
Quality of discussion of initiatives that contribute to carbon neutrality	For each initiative discussed – A discussion is not provided. **OR** The discussion lacks clarity in explaining the sustainability initiative.	For each initiative discussed – The discussion is generic.	For each initiative discussed – The discussion is clear, coherent and relevant to the sustainability initiative.	For each initiative discussed – The discussion is clear, coherent and relevant to the sustainability initiative. **AND** Comprehensive/detailed.		
Addressing multiple sites in discussion	Fails to identify any sites.	Identifies the initiatives at some sites.	Identifies the initiatives at all sites.	N/A		

Rubric Criteria	0 points – Not demonstrated	1 point – Fair	2 points – Good	3 points – Excellent	SCORE	Feedback
of sustainability initiatives						
Connection to Natural Capital	Fails to connect sustainability initiatives to Natural Capital.	Basic connection of sustainability initiatives to Natural Capital.	Comprehensive connection of sustainability initiatives to Natural Capital.	N/A		
QUESTION 4						
Identification of key impairment indicators	Fails to identify any of the key impairment indicators.	Identifies some of the key impairment indicators.	Identifies all the key impairment indicators.	N/A		
Explanation of why indicators are significant	For each correct impairment indicator identified – Fails to explain why the impairment indicators are significant. **OR** Lacks clarity in explaining why the impairment indicator is significant.	For each correct impairment indicator identified – Provides a basic (generic) explanation of why the impairment indicator is significant.	For each correct impairment indicator identified – The explanation of why the impairment indicator is significant is clear and coherent.	N/A		
COMMUNICATION						
Adherence to formatting guideline	Formatting requirements have been adhered to • Font type: Arial • Font size: 11 • Line spacing of 1.5 • Justified 1 marks					

Rubric Criteria	0 points – Not demonstrated	1 point – Fair	2 points – Good	3 points – Excellent	SCORE	Feedback
Context and audience	Does not demonstrate an awareness of the context and audience in communicating findings.	Demonstrates some awareness of the context and audience.	Demonstrates full awareness of the context and audience.	N/A		
Grammar Usage	Mechanical or grammatical errors are present.	Some mechanical or grammatical errors.	Almost no mechanical or grammatical errors.	N/A		
References	A list of references has been given in line with the referencing guide provided. 1 mark					
TOTAL					**30**	